USDT0 · SECURITY REVIEW

USDT0 Hedera Deployment.

A security review of Hedera Deployment.

CLIENT	PROJECT	AUDITORS	AUDIT WINDOW	FINAL REPORT
USDT0	Hedera Deployment	Guardian	February 18 – February 19, 2026	February 19, 2026

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§ 01

Overview.

Guardian reviewed Hedera Deployment across a single review round. The final report includes 1 Low, 3 Informational findings.

AUDIT FIRM
Guardian

CLIENT
USDT0

PROJECT
Hedera Deployment

PREPARED BY
Guardian

AUDIT WINDOW
February 18 – February 19, 2026

FINAL REPORT
February 19, 2026

REPOSITORY
https://github.com/Everdawn-Labs/usdt0-oft-contracts

METHODOLOGY
Smart contract · Manual · Main Review

1.1 Confidence Ranking

5 / 5

Very High Confidence

Guardian assigns a Confidence Ranking of 5 out of 5, combining finding severity, remediation outcome, and the reviewer's assessment of latent risk. The full scale is on the next page.

1	2	3	4	5
VERY LOW CONFIDENCE	LOW CONFIDENCE	MODERATE CONFIDENCE	HIGH CONFIDENCE	VERY HIGH CONFIDENCE

1.2 Findings at a Glance

SEVERITY	TOTAL	PENDING	ACK	PARTIAL	RESOLVED
Critical	**0**	0	0	0	0
High	**0**	0	0	0	0
Medium	**0**	0	0	0	0
Low	**1**	0	1	0	0
Informational	**3**	0	2	0	1
All severities	**4**	**0**	**3**	**0**	**1**

§ 02

Confidence Ranking.

Guardian assigns a project-level confidence score using the scale below. The ranking combines finding severity, remediation outcome, and the reviewer's assessment of latent risk.

CONFIDENCE RANKING	DEFINITION AND RECOMMENDATION	RISK PROFILE
5 Very High Confidence ASSIGNED	Codebase is mature, clean, and secure. No High or Critical vulnerabilities were found. Follows modern best practices with high test coverage and thoughtful design. Recommendation: code is highly secure at time of audit.	0 High/Critical findings and few Low/Medium severity findings.
4 High Confidence	Code is clean, well-structured, and adheres to best practices. Design patterns are sound and test coverage is strong. Recommendation: suitable for deployment after remediations; consider periodic review with changes.	0-1 High/Critical findings per engagement week and little to no Medium severity findings.
3 Moderate Confidence	Code is functional but shows gaps in defensive programming or test coverage. Recommendation: remediate the findings and re-review the changes before deployment.	Some High/Critical findings, with various Medium severity findings.
2 Low Confidence	Recurring issues suggest systemic gaps rather than isolated mistakes. Recommendation: remediate, then commission a follow-up review at a frozen commit.	Over 6 High and Critical findings across the engagement.
1 Very Low Confidence	The volume and severity of findings indicate the codebase is not ready for production. Recommendation: substantial rework, then a full re-review.	Over 12 High and Critical findings across the engagement.

§ 03

Scope & Classifications.

Guardian reviewed Hedera Deployment in `https://github.com/Everdawn-Labs/usdt0-oft-contracts`.

IN SCOPE

OFT Proxy: 0xe3119e23fC2371d1E6b01775ba312035425A53d6

OFT Implementation: 0xbD3c51411852A1E3aB545FD0bCaF22a3E32d553e

OFT ProxyAdmin: 0xDCee5eF6779567C27e69D57f6A143449372D1784

USDT0: 0x000000000000000000000000000000009Ce723 (Hedera token 0.0.10282787)

3.1 Severity Matrix

	IMP · HIGH	IMP · MED	IMP · LOW
LIK · HIGH	Critical	High	Medium
LIK · MED	High	Medium	Low
LIK · LOW	Medium	Low	Low

IMPACT · HIGH	Significant loss of assets, harm to a group of users, or core protocol functionality is disrupted.
IMPACT · MEDIUM	Small amount of funds can be lost, or ancillary functionality is affected. Users may experience reduced or delayed receipt.
IMPACT · LOW	Unexpected behavior in some functionality that is notable but does not meet the criteria for higher severity.
LIKELIHOOD · HIGH	Possible with reasonable assumptions that mimic on-chain conditions; cost is low compared to amount gained.
LIKELIHOOD · MEDIUM	Possible only in uncommon cases or requires a large amount of capital relative to disruption caused.
LIKELIHOOD · LOW	Unlikely to ever occur in production.

§ 04

Findings.

Grouped by round. Visible IDs reset by severity within each round, so a finding is named the same way in the report as it was in the channel it was written in. Status is where each finding ended up; its own page says how.

ID	TITLE	CATEGORY	SEVERITY	STATUS	PAGE
MAIN REVIEW					
L-01	ProxyAdmin Safe Threshold Is 1 of 5	Configuration	LOW	ACKNOWLEDGED	p. 7
I-01	Owner And Delegate Are an EOA	Configuration	INFORMATIONAL	ACKNOWLEDGED	p. 8
I-02	Monad-Hedera Enforced Options Reversed	Configuration	INFORMATIONAL	RESOLVED	p. 9
I-03	Hedera Missing safeConfig Test Mismatch	Configuration	INFORMATIONAL	ACKNOWLEDGED	p. 10

LOW L-01

ACKNOWLEDGED

ProxyAdmin Safe Threshold Is 1 of 5

CATEGORY	Configuration
LOCATION	Global
REVIEW	Main Review

DESCRIPTION

The `DefaultProxyAdmin` owner is a Safe-like wallet configured with five owners but a signing threshold of one. Because `ProxyAdmin` controls upgrades for the transparent proxy, a single compromised Safe owner key can authorize an implementation upgrade and fully change runtime behavior. The intended blast-radius reduction of multi-owner governance is not being realized under a one-signature threshold.
This setup lowers the protocol resistance to an admin key compromise and increases upgrade takeover risk.
#Recommendation
Raise the Safe threshold to a multi-signature quorum aligned with production risk, such 3-of-5, and require a documented emergency upgrade process.

RESOLUTION

Status: Acknowledged.

INFORMATIONAL I-01

ACKNOWLEDGED

Owner And Delegate Are an EOA

CATEGORY	Configuration
LOCATION	`HTSConnectorUpgradeable.sol`
REVIEW	Main Review

DESCRIPTION

The deployed `HTSConnectorUpgradeable` instance sets both `owner()` and the LayerZero endpoint delegate to the same externally owned account. This account can execute privileged owner flows such as `mintTokenPublic`, and can also control LayerZero configuration paths via `setPeer`, `setEnforcedOptions`, `setDelegate`, `setMsgInspector`, and `setPreCrime`. Concentrating these powers into one hot operational identity creates a single point of catastrophic failure where one key compromise can affect token mint authority and cross-chain routing controls at the same time.
If this key is compromised, an attacker can alter messaging configuration and execute privileged token actions without needing additional approvals.

RECOMMENDATION

Split privileges and move both roles to hardened governance. Set the owner and the endpoint delegate to the Safe wallet.

RESOLUTION

Status: Acknowledged.

INFORMATIONAL I-02

RESOLVED

Monad-Hedera Enforced Options Reversed

CATEGORY	Configuration
LOCATION	`layerzero-prod.config.ts`
REVIEW	Main Review

DESCRIPTION

The LayerZero connection entry for the Monad and Hedera pair applies `MONAD_ENFORCED_OPTIONS` on the Monad to Hedera direction and `EVM_ENFORCED_OPTIONS` on the Hedera to Monad direction. For asymmetric chains, enforced options are expected to match the destination chain requirements, and this directionality appears inverted relative to the rest of the configuration style. If left unchanged, one direction can receive an incorrect gas/options profile and produce avoidable delivery failures or retries during cross-chain messaging.

RECOMMENDATION

Swap the enforced-options tuple so the Monad to Hedera direction uses `EVM_ENFORCED_OPTIONS` and the Hedera to Monad direction uses `MONAD_ENFORCED_OPTIONS`. Add a configuration regression test that asserts destination-specific option selection for asymmetric chain pairs to prevent this class of directional inversion.

RESOLUTION

Status: Resolved.

INFORMATIONAL I-03 ACKNOWLEDGED

Hedera Missing safeConfig Test Mismatch

CATEGORY	Configuration
LOCATION	`layerzero-prod.config.ts`
REVIEW	Main Review

DESCRIPTION

Hedera is included in the production LayerZero contract set and is treated as a first class endpoint for ownership and delegate configuration, but the Hardhat network record for Hedera does not carry a `safeConfig` object. In parallel, the test suite computes `networksWithSafeConfig` by filtering only networks that have `safeConfig`, then asserts that every endpoint id returned by the production LayerZero config is present in that filtered set. This means the policy encoded by the test and the policy encoded by the network metadata are not aligned for Hedera.

```javascript
const hederaContract: OmniPointHardhat = {
eid: EndpointId.HEDERA_V2_MAINNET,
contractName: 'HTSConnectorUpgradeable',
}

{
contract: hederaContract,
config: {
delegate: '0x2BA553f06b26EfE2A3EdDC4f3E20C7Db9B09797f',
owner: '0x2BA553f06b26EfE2A3EdDC4f3E20C7Db9B09797f'
},
}
---
const hederaContract: OmniPointHardhat = {
eid: EndpointId.HEDERA_V2_MAINNET,
contractName: 'HTSConnectorUpgradeable',
}
{
contract: hederaContract,
config: {
delegate: '0x2BA553f06b26EfE2A3EdDC4f3E20C7Db9B09797f',
owner: '0x2BA553f06b26EfE2A3EdDC4f3E20C7Db9B09797f'
```

I-03 Hedera Missing safeConfig Test Mismatch CONTINUED

```
},
}
---
'hedera-mainnet': {
eid: EndpointId.HEDERA_V2_MAINNET,
url: 'https://tame-ultra-wind.hedera-mainnet.quiknode.pro/...',
accounts,
verify: {
etherscan: {
apiKey: '',
apiUrl: '',
}
},
},
---
const networksWithSafeConfig = Object.entries(hardhatConfig.networks || {})
.filter(([_, config]) => (config as any).safeConfig)
.map(([name, config]) => ({ name, eid: (config as any).eid }))

const layerzeroEids = contracts.map((item: any) => item.contract.eid)
layerzeroEids.forEach((eid: number) => {
expect(safeConfigEids).to.include(eid)
})
```

Because of this, the current test overstates an invariant that is not actually true. The practical impact is a noisy CI behavior and reduced trust in deployment guardrails, because engineers may disable or ignore a test that should otherwise be authoritative.

RECOMMENDATION

Align policy in one place and enforce it consistently, then encode that policy directly in test logic. One valid fix path is to simply add a `safeConfig` for Hedera.

RESOLUTION

Status: Acknowledged.

§ 05

Disclaimer.

This report is not, nor should be considered, an "endorsement" or "disapproval" of any particular project or team. This report is not, nor should be considered, an indication of the economics or value of any "product" or "asset" created by any team or project that contracts Guardian to perform a security assessment. This report does not provide any warranty or guarantee regarding the absolute bug-free nature of the technology analyzed, nor do they provide any indication of the technologies proprietors, business, business model or legal compliance.

This report should not be used in any way to make decisions around investment or involvement with any particular project. This report in no way provides investment advice, nor should be leveraged as investment advice of any sort. This report represents an extensive assessing process intending to help our customers increase the quality of their code while reducing the high level of risk presented by cryptographic tokens and blockchain technology.

Blockchain technology and cryptographic assets present a high level of ongoing risk. Guardian's position is that each company and individual are responsible for their own due diligence and continuous security. Guardian's goal is to help reduce the attack vectors and the high level of variance associated with utilizing new and consistently changing technologies, and in no way claims any guarantee of security or functionality of the technology we agree to analyze.

The assessment services provided by Guardian is subject to dependencies and under continuing development. You agree that your access and/or use, including but not limited to any services, reports, and materials, will be at your sole risk on an as-is, where-is, and as-available basis.

Cryptographic tokens are emergent technologies and carry with them high levels of technical risk and uncertainty. The assessment reports could include false positives, false negatives, and other unpredictable results. The services may access, and depend upon, multiple layers of third-parties.

Notice that smart contracts deployed on the blockchain are not resistant from internal/external exploit. Notice that active smart contract owner privileges constitute an elevated impact to any smart contract's safety and security. Therefore, Guardian does not guarantee the explicit security of the audited smart contract, regardless of the verdict.

§ 06

About Guardian.

Guardian is a smart contract security firm. Every engagement is worked by two independent teams competing on the same scope, each with its own tooling and methods, so no single reviewer's blind spot survives.

$45B+
DIGITAL ASSETS UNDER REVIEW

200+
ENGAGEMENTS COMPLETED

500+
CRITICAL & HIGH FINDINGS REPORTED

Reach us at audits@guardianaudits.com.